

CHAPTER 2

Audit of the Sales and Collection Cycle: Tests of Controls and Substantive Tests of Transactions

I. CLASSES OF TRANSACTIONS, BUSINESS FUNCTIONS, AND RELATED DOCUMENTS AND RECORDS FOR SALES AND COLLECTION CYCLE

Classes of transactions	Business Functions	Documents and Records
Sales	Processing customer orders	Customer order, sales order
	Granting credit	Customer order/sales order
	Shipping goods	Shipping document e.g. bill of lading, delivery order
	Billing customers & recording sales	Sales invoice, sales transaction file, sales journal or listing, accounts receivable master file, accounts receivable trial balance, Monthly statement
Cash receipts	Processing and recording cash receipts	Remittance advice, prelisting of cash receipts, cash receipts transaction file, cash receipts journal or listing
Sales returns and allowances	Processing and recording sales returns and allowances	Credit memo, SRA journal or general journal
Write-off of uncollectible accounts	Write-off of uncollectible accounts receivable	Uncollectible account authorization form, general journal
Bad debt expense	Providing for bad debts	General journal

II. TESTS OF CONTROLS RELATED TO THE SALES AND COLLECTION CYCLE

a) Testing Controls Related to Sales

Department	Control Procedures	Sample Procedures
Order & Credit (Marketing)	1. Prepare prenumbered sales order. 2. Perform credit check (authorization). 3. Approve credit for returns. 4. Follow up on old or past-due accounts. 5. Initiate write-offs, which should be approved by the treasurer.	▪ Inquire about credit procedure for new customers (valuation). ▪ From a population of approved sales orders (and returns), select a sample and examine documents for evidence of credit check (valuation).
Warehouse & Shipping	1. Receive approved sales order from credit dept (must have approved sales order before release of goods from warehouse). 2. Pull inventory from warehouse and release to shipping. 3. Perform independent check of goods received from warehouse and approved sales orders in shipping department. 4. Prepare prenumbered bill of lading, delivery order, etc.	▪ Observe warehouse personnel filling sales orders (existence). ▪ Observe physical controls over inventory. ▪ Observe evidence of independent checks (existence). ▪ Inspect a sample of prenumbered shipping documents and agree to sales order (existence). ▪ Account for prenumbering (completeness)
Billing/ Accounts Receivable	1. Match shipping documents and sales orders before preparing invoice. 2. Periodically account for all prenumbered shipping documents. 3. Perform independent check of sales order pricing. 4. Prepare prenumbered sales invoice.	▪ Vouch a sample of sales invoices (select approved sales orders from the sales journal) to shipping documents and approved sales orders (existence). ▪ Trace a sample of shipping documents (select from prenumbered shipping documents) to sales invoice, sales journal, and A/R master file (completeness).

	- Batch and total invoices. - Update A/R master file. Agree input to invoice batch totals. - Print sales journal. - Print sales summary. Agree to invoice batch totals (independent check). - Mail monthly customer statements.	- Observe procedure. Repperform procedures for a sample period (completeness). - Reperform pricing check: From a sample of sales invoices, check pricing with master price list (valuation). - Observe procedure and reperform (valuation). - Observe mailing (existence, completeness, valuation).
Accounting	- Receive sales summary. - Perform independent check of invoice batch totals and sales summary. - Review sales account classifications. - Post to G/L. - Follow-up customer exceptions (independent check).	- Observe and reperform (valuation, existence, completeness). - Observe and reperform (report presentation). - Inspect customer exception file and disposition (existence, completeness, rights, valuation).
SEGREGATION OF DUTIES: Authorization: Sales Order & Credit, Treasurer Recordkeeping: Billing/Accounts Receivable/Accounting Custody: Warehouse & Shipping		

b) Testing Controls Related to Collections

Department	Control Procedures	Sample Procedures
Mailroom	- Separate checks and remittance advices. - Stamp restrictive endorsement on checks. - Prepare prelisting of checks received. - Forward checks to Cashier. - Forward remittance advices to A/R.	- Inspect checks prior to deposit for endorsement (completeness). - Observe preparation of prelisting (existence, completeness, valuation).

	6. Forward prelisting to Accounting, Cashier, and Accounts Receivable.	
Cashier	1. Receive checks and prepare deposit. 2. Prepare daily cash summary (copy to A/R and Accounting). 3. Deliver checks to bank. 4. File validated deposit slip.	▪ Observe preparation of cash summary (existence, completeness, valuation). ▪ Inspect deposit slip and compare to cash summary (existence, completeness, valuation).
Accounts Receivable	1. Match remittance advices and check deposit summary. 2. Update A/R master file. 3. Print CR journal/Updated A/R master file. 4. Print CR summary (copy to Accounting).	▪ Observe procedure (completeness).
Accounting	1. Independent check: Compare the cash summary (Cashier), the prelisting of checks (Mailroom), and the CR summary (A/R). 2. Post G/L. 3. Prepare bank reconciliation.	▪ Inspect evidence of independent check (existence, completeness, valuation). ▪ Reperform independent check for selected dates (existence, completeness, valuation). ▪ Inspect bank reconciliation (existence, completeness, valuation).
SEGREGATION OF DUTIES: • Recordkeeping: Accounts Receivable/Accounting • Custody: Mailroom & Cashier (Treasurer)		

III. Audit Objective, Tests of controls and substantive tests for sales transactions

Objective	Test of controls	Substantive tests
Occurrence	▪ Examine customer order for evidence of credit approval ▪ Examine sales invoice for supporting bill of lading & customer order ▪ Observe whether monthly statements are sent	▪ Trace sales journal entries to supporting documents (duplicate sales invoice, bill of lading, sales order, customer order) ▪ Review sales journal and master file for unusual transactions and amounts
Completeness	▪ Account for numerical sequence of shipping documents	▪ Trace from shipping documents to the sales invoice to entry in the sales journal to be sure that each one is included
Accuracy	▪ Examine the approved price list and terms for accuracy and proper authorization ▪ Examine sales invoices for supporting documents	▪ Trace entries in sales journal to sales invoices ▪ Reconcile invoices with approved price lists & terms ▪ Recompute prices and extensions on sales invoices ▪ Trace details on sales invoices to shipping documents, sales order and customer order
Classification	▪ Examine verification procedures (verification of A/c classification)	▪ Examine duplicate sales invoice for proper account classification
Timing	▪ Accounting for numerical sequence of shipping documents	▪ Compare the dates on the bill of lading with the dates of sales invoice and sales journal
Posting and summarization	▪ Examine evidence of reconciliation between general ledger & customers' ledger ▪ Ensure posting to A/R master file and general ledger on a timely basis ▪ Statements are sent to customers each month	▪ Conduct footing and cross footing of sales journal and trace the totals of sales journal to the general ledger. ▪ Trace selected sales invoices from the sales journal to the A/R master file and test for amount,

		date, and invoice number
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IV. Audit Objective, Tests of controls and substantive tests for Cash receipt transactions

Objective	Test of controls	Substantive tests
Occurrence	Check whether accountant independently reconciles bank account	- Trace cash receipts entries from CRJ to the bank statement - Prepare a proof of cash receipts*
Completeness	- Observe prelisting of cash receipts - Observe endorsement of incoming checks - Observe whether monthly statements are sent to customers	- Obtain prelisting of cash receipts and trace amounts to cash receipts journal, testing for names, amounts and dates - Compare the prelisting with the duplicate deposit slip
Accuracy	Check whether accountant independently reconciles bank account	Prepare a proof of cash
Classification	Examine evidence of internal verification. (evidence of the verification of A/c classification)	Examine prelisting of cash receipts for proper account classification
Timing	Observe unrecorded cash at a point to see when it is recorded	Compare the dates on the prelisting of cash receipts, CRJ & bank statement
Posting and summarization	- Examine evidence for reconciliation between general ledger & customers' ledger - Observe whether monthly statements are sent to customers	- Trace selected entries from the CRJ to the A/R master file and test for dates and amounts - Trace selected credits from the AS/R master file to the CRJ and test for the dates and amounts - Conduct footing and cross footing of CRJ and trace the totals of CRJ to the general ledger

**Proof of cash receipts is a statement which reconciles all cash receipts with cash deposited at bank*

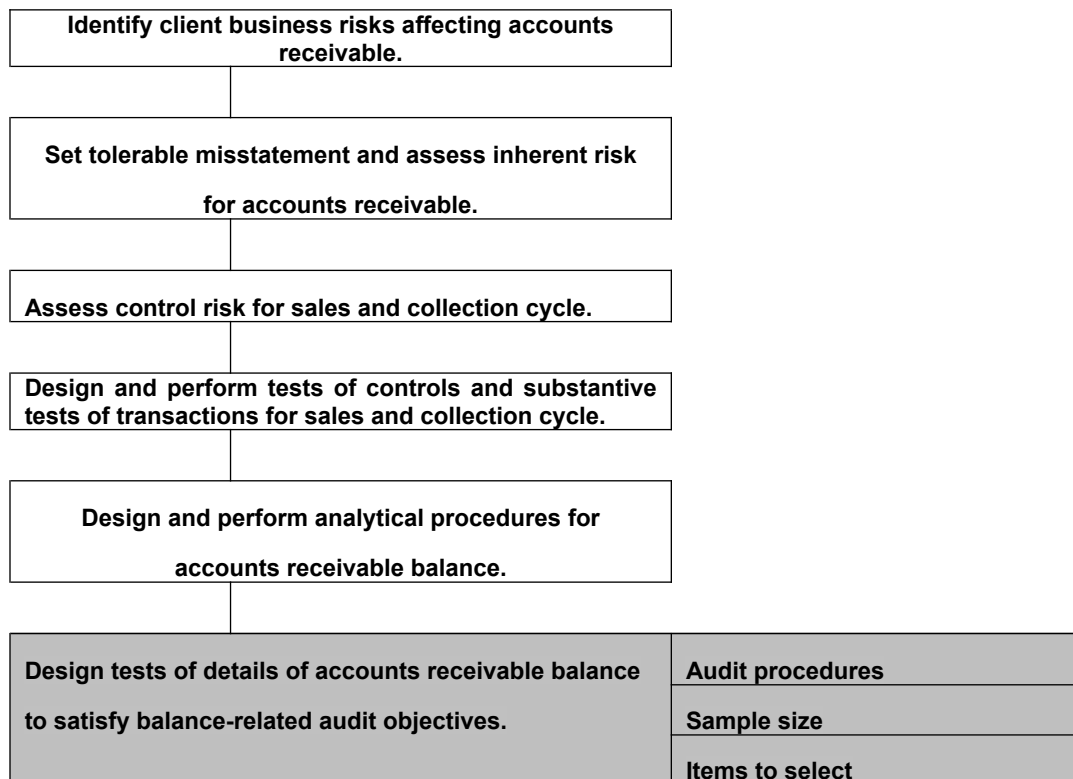
TESTS OF DETAILS OF BALANCES-ACCOUNTS RECEIVABLE

The methodology that auditors follow in designing the appropriate tests of details of balances for accounts receivable involves some major steps summarized in figure 2.1 below. These steps and related audit work and decision involves various audit activities performed and decisions made in the evidence planning phase of the audit, materiality and risk considerations and tests of controls and substantive tests of transactions discussed in this chapter of the material.

Deciding the appropriate tests of details of balances evidence is complicated because it must be decided on an objective-by-objective basis, and there are several interactions that affect the evidence decision.

For example, the auditor must consider inherent risk, which may differ by objective, and results of substantive tests of sales and cash receipts, which also may vary by objective. The auditor must also consider the results of tests of controls and the related control risk assessment.

Figure 2.1: Designing Tests of Details of Balances



Design and Perform Tests of Details of Accounts Receivable Balance

- Tests of details of balances for all cycles are directed to balance sheet accounts, but income statement accounts are not ignored because they are verified as a by-product of the balance sheet accounts.
- For designing tests of details of balances, the auditor needs to decide on planned detection risk.
- Basically, this decision is a result of combined consideration of various factors such as the acceptable audit risk, inherent risk, control risk, substantive tests of transactions and analytical procedures decision made until this phase of the audit.
- Planned detection risk for each objective is, finally, an auditor decision, decided by subjectively combining the conclusions reached about each of the factors.
- Audit procedures selected and their sample size depends heavily on whether planned evidence for a given objective is low, medium, or high.
- Confirmation of A/R is the most important test of details of A/R.

In designing tests of details of balances for accounts receivable, it is essential to satisfy each of the nine balance-related audit objectives.

- Detail tie-in
- Existence
- Completeness
- Accuracy
- Classification
- Cutoff
- Realizable value
- Rights and obligations
- Presentation and disclosure

i) **Accounts Receivable Are Correctly Added and Agree with The Master File and The General Ledger**

- Start with Schedule of Account Receivables.
- An aged trial balance is a listing of the balances in the A/R master file at balance sheet date.

- Test information on the aged trial balance for a detail tie-in.
- Test information on the aged trial balance must be done before any other tests to assure the auditor that the population being tested agrees with the GL and A/R master file.
- Must be test footed, and total on the trial balance be compared with the GL.
- Trace individual balances to supporting documents such as sales invoices to verify customer's name, balance, and proper aging.
- Sample size depends on No. of a/cs, degree of tests done in previous phases of the audit, degree of independent verification.
- Audit software can be helpful- footing, cross-footing, & recalculating the aging.

ii) Recorded Accounts Receivable Exist

- Confirmation is the most important test of details of balances.
- If no customer response, examine supporting documents to verify the shipment of goods and evidence of subsequent cash collection--- Alternative evidence for nonresponse.

iii) Existing Accounts Receivable Are Included

- Difficult to test account balance omitted from the aged trial balance unless comparison with the controlling account (GL) reveals it.
- If all sales to a customer are omitted from the sales journal, the understatement of A/R is almost impossible to uncover by tests of details of balances.
- The understatement of sales and A/R is best uncovered by substantive tests of transactions for shipments made but not recorded and by analytical procedures.

iv) Accounts Receivable Are Accurate

- Confirm selected accounts.
- For nonresponses perform alternative procedures.
- Test debits and credits to individual customer's balances by examining supporting documents for shipment and cash receipts.

v) Accounts Receivable Are Properly Classified

- Review the aged trial balance for material receivables from affiliates, officers, directors, and other related parties.
- Review for any nontrade receivables.

- Ensure that notes receivables or accounts that should not be classified as current asset are segregated from the regular accounts.
- If credit balances in A/R are significant, reclassify it as accounts payable.

vi) Cutoff for Accounts Receivable Is Correct

- Cutoff misstatements exist when current period transactions are recorded in the subsequent period or subsequent period transactions are recorded in the current period.
- Objective of the test is to verify whether transactions near the end of the accounting period are recorded in the proper period.
- Cutoff errors affect current period income.
- In determining appropriate cutoff
 - a) Decide on the appropriate criteria for cutoff
 - b) Evaluate whether the client has established adequate procedures to ensure a reasonable cutoff, and
 - c) Test whether a reasonable cutoff was obtained.
- Sales Cutoff
- Sales Return and Allowance Cutoff
- Cash Receipts Cutoff

vii) Accounts Receivable Is Stated at Realizable Value

- IFRS requires that A/R be stated at the amount that ultimately be collected-Gross receivable less allowance for uncollectible accounts.
- The auditor should evaluate whether the allowance is reasonable.
- For evaluation, they prepare an audit schedule that analyses the allowance for uncollectible accounts.
- Start with review of the results of the tests of controls that are concerned with the client's credit policy.
- If the policy is unchanged and results of the tests of the credit policy and credit approval are consistent with the preceding year, the change in the balance must reflect only changes in economic conditions and sales volume.
- Carefully examine the noncurrent accounts on the aged trial balance to determine which ones haven't been paid subsequent to balance sheet date..... "Long Outstanding Receivables"

- Then, compare the size and age of unpaid balances with similar information from previous years to evaluate whether the amount of noncurrent receivable is increasing or decreasing over time.
- Examination of credit files.
- Discussion with the credit manager.
- Review of the client's correspondence files.

viii) The Client Has Rights to Accounts Receivable

To uncover instances in which the client has limited rights to receivables (as a result of pledging, assignment, factoring, discounting...), auditors,

- Review minutes.
- Discuss with the client.
- Confirm with the bank.
- Examine debt contracts for evidence of A/R pledged as collateral, and
- Examine correspondence files.

ix) Accounts Receivable Presentation and Disclosures Are Proper

- The auditor must decide whether the client has properly combined the amounts and disclosed related party information in the statements.
- To evaluate adequacy of presentation and disclosure, auditors need thorough understanding of IFRS.
- Decide whether material amounts requiring separate disclosure have actually been separated. E.g. receivable from officers and affiliated companies
- Evaluate adequacy of the footnotes. E.g. information about pledging, discounting, factoring, assignment of A/R, and amount due from related parties.

Confirmation of Accounts Receivable Balance

- Primary audit procedure for testing existence, accuracy and cutoff.
- Addresses 5 of the 8 balance-related audit objectives (not classification, realizable value, and presentation & disclosure).
- Expensive audit procedure – auditor and client time – but highly reliable evidence.
- Required procedure in normal circumstances.

Exceptions to Sending A/R Confirmations

1. Accounts receivable are immaterial.
2. The auditor considers confirmations ineffective evidence because response rates will likely be inadequate or unreliable.
3. The combined level of inherent risk and control risk is low and other substantive evidence can be accumulated to provide sufficient evidence.

Type of Confirmation

- **Positive confirmation** – confirm the printed balance on the confirmation.
- **Blank confirmation form** – requests customer to fill in balance amount on the confirmation.
- **Invoice confirmation** – confirm one or more invoices instead of the total balance.
- **Negative confirmation** – respond only if balance is incorrect.

Timing

- The most reliable evidence from confirmations is obtained when they are sent as close to the balance sheet date as possible, as opposed to confirming the accounts several months before year-end.

Sample Size

Factors affecting sample size includes:

- Tolerable misstatement

- Inherent risk
- Control risk
- Achieved detection risk from other substantive tests
- Type of confirmation

Selection of Items for Testing

- Stratification is desirable – based on dollar/birr amount or length of time outstanding. But a sample is also needed for judging total population.
- When selecting a sample of accounts receivable for confirmation, the auditor should be careful to avoid being influenced by the client.
- If a client tries to discourage the auditor from sending confirmation to certain customers, the auditor should consider the possibility that the client is attempting to conceal fictitious or known misstatements of accounts receivable.

Evaluating Returned Confirmations

- **Clean responses** – no follow up required.
- **Responses with disagreement** – follow up with the client for reason. Reasons could be timing issues, customer can't confirm (or won't), or errors. Customer completes the confirmation weeks after the cutoff date and their system does not allow them to go back to the cutoff date to accurately confirm.
- **No response** – send a second request, do follow up procedures – subsequent receipts testing

Subsequent Cash Receipts

- Evidence of the receipt of cash subsequent to the confirmation date includes examining remittance advices, entries in the cash receipts records, or perhaps even subsequent credits in the accounts receivable master files.
- If customer paid for the goods, then the sale must exist.

Duplicate Sales Invoices

- These are useful in verifying the actual issuance of a sales invoice and the actual date of the billing.
- If a sales invoice was issued to a customer, then the sale most likely exists.

Shipping Documents

- These are important in establishing whether the shipment was actually made and as a test of cutoff.

Correspondence with the Client

- Usually, the auditor does not need to review correspondence as a part of alternative procedures, but correspondence can be used to disclose disputed and questionable receivables not uncovered by other means.

Drawing Conclusions

- Reevaluate internal control.
- Evaluate the qualitative nature of misstatements.
- Determine whether sufficient evidence was obtained.

SUMMARY

Auditing Accounts Receivable balance

Substantive procedures	Audit Objective
Reconcile As/R trial balance with general ledger	Valuation, accuracy
Analytical procedures	Existence, completeness, valuation, rights
Confirmation	Existence, valuation, rights
Test cutoff for sales	Existence, completeness
Examine subsequent collections	Existence, completeness, valuation
Determine the adequacy of Allowance for Doubtful Accounts	Valuation
Review presentation & disclosure	F/S presentations & disclosure

QUESTIONS TO PONDER WITH

1. For effective internal control, the billing function should not be performed by the:
A. Sales department.
B. Accounting department.
C. Finance department.
D. Billing department.
2. Which of the following is consistent with effective internal control over sales transactions?
A. The accounting department prepares a shipping report authorizing the shipment of goods.
B. The accounting department accounts for all receiving reports.
C. The billing department accounts for all shipping documents.
D. The accounts payable department annually approves the extension of credit to customers

3. Tracing recorded sales transactions to the bills of lading provides evidence about the:
- A. Completeness of sales transactions.
 - B. Collectability of sales transactions.
 - C. Occurrence of sales transactions.
 - D. Billing of all sales transactions.
4. To verify that all sales that have been shipped to customers have been recorded, a test of transactions should be completed on a representative sample drawn from:
- A. The sales journal.
 - B. The billing clerk's file of sales orders.
 - C. Duplicate copies of sales invoices.
 - D. The shipping clerk's file of duplicate copies of bills of lading.
5. Which one of the following would the auditor consider to be an incompatible operation if the cashier receives remittances from the mailroom?
- A. The cashier prepares the daily deposit.
 - B. The cashier makes the daily deposit at a local bank.
 - C. The cashier endorses the checks.
 - D. The cashier posts the receipts to the account receivable subsidiary ledger cards.
6. To test the existence assertion for recorded receivables, an auditor would select a sample from the.
- A. Sales orders file.
 - B. Customer purchase orders.
 - C. Accounts receivable subsidiary ledger.
 - D. Shipping documents (bills of lading) file.
7. To obtain the best evidence regarding the completeness of recorded accounts receivable, the auditors:
- A. Trace a sample of the bills of lading to sales invoices.
 - B. Confirm a sample of accounts payable.
 - C. Review the aging of accounts receivable.
 - D. Trace a sample of recorded sales to shipping documents.
8. Which of the following is least likely to be typically considered to be an alternate procedure for handling nonreplies to accounts receivable confirmations?
- A. Examine bills of lading.
 - B. Physically examine items sold.
 - C. Examine correspondence.
 - D. Examine subsequent cash receipts.
9. Which procedure would be of most assistance to an auditor discovering a large credit sale that has erroneously been recorded twice?
- A. Footing the sales journal.

- B. Sending accounts receivable confirmations.
- C. Tracing the total sales in the sales journal to the general ledger.
- D. Observation of the physical inventory count at year-end.

10. Which of the following is not true about the confirmation of accounts receivable?

- A. Confirmation requests should bear the auditors' return address.
- B. Confirmation requests should be signed by the auditors.
- C. Confirmation requests should be mailed directly by the auditors.
- D. Confirmation requests should include a return envelope addressed to the office of the auditors.